



## STATEMENT OF ADVICE

### Financial Planning Strategy

***Prepared for:***

Ms Sheryl Ovens

Of

2/30 Richmond Street  
BLACKBURN SOUTH VIC 3130

***Prepared on:***

**11<sup>th</sup> February 2016**

***By your Adviser:***

***Andrew Lord B Bus (Acc), Dip FS (Fin Plan)***

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**What this document is about**

This Statement of Advice (or SoA) is an important document.

- It provides you with information about our advice so you can make a decision about implementing the advice.
- It should be read in conjunction with other documents such as Product Disclosure Statements and our Financial Services Guide.

**What to do after reading this Statement of Advice**

Please contact us.

- If you have any questions.
- If we have omitted, overlooked or incorrectly understood any of your relevant circumstances.
- When you are ready to implement the recommendations.
- Or, if you decide you want to do something else and need our advice or assistance.

11/02/2016

Ms Sheryl Ovens  
2/30 Richmond Street  
**Blackburn South Vic 3130**

Dear Sheryl,

I am pleased to enclose your Statement of Advice (SoA).

It is an important document that you should read and understand before making a decision to proceed further.

We have based the strategies and recommendations in this document on our understanding of your current personal and financial position. If any of this information does not reflect any part of your current position, goals and objectives please advise us immediately and we will make the necessary changes.

The SoA sets out our recommended strategies to address your needs, together with a recommended course of action to implement these strategies.

When you are ready to proceed, we would be very happy to help you with the implementation of the advice, including the completion and lodgement of application forms and other documents.

Please note, our recommendations in this Statement of Advice are valid for 30 days from the date on the cover of this document. If your circumstances change before you implement our recommendations, or if you don't act on them within 30 days, they may no longer be appropriate for you. If that happens, please ask us to review your situation again before you take any action.

Once implemented, we should review your situation on a regular basis to ensure we make the most of any changes that may impact on the strategies I have recommended for you.

Yours sincerely,

**Andrew Lord**  
B Bus (Acc), Dip FS (Fin Plan)  
Authorised Representative No 324798 of  
Pareto Group Pty Ltd

# Table of Contents

|                                                                                         |           |
|-----------------------------------------------------------------------------------------|-----------|
| <b>STATEMENT OF ADVICE .....</b>                                                        | <b>1</b>  |
| Financial Planning Strategy .....                                                       | 1         |
| Purpose of this document.....                                                           | 4         |
| Timeframe for our advice .....                                                          | 4         |
| Check for accuracy .....                                                                | 4         |
| Limitations of our advice .....                                                         | 4         |
| Product selection .....                                                                 | 5         |
| <b>Introduction .....</b>                                                               | <b>6</b>  |
| The Scope of Our Advice .....                                                           | 6         |
| Our Investment Recommendations.....                                                     | 6         |
| Your Adviser .....                                                                      | 7         |
| The Planning Process .....                                                              | 7         |
| <b>Executive Summary .....</b>                                                          | <b>8</b>  |
| Your Goals and Objectives .....                                                         | 8         |
| <b>Personal Information.....</b>                                                        | <b>9</b>  |
| Personal Details .....                                                                  | 9         |
| Employment Details .....                                                                | 9         |
| Estate Planning.....                                                                    | 9         |
| Current Assets and Liabilities.....                                                     | 10        |
| <b>Your Investor Risk Profile .....</b>                                                 | <b>11</b> |
| <b>Strategy Recommendation.....</b>                                                     | <b>13</b> |
| Tax Rates .....                                                                         | 13        |
| Tax rates 2015-16.....                                                                  | 13        |
| Tax on superannuation earnings, contributions and income streams .....                  | 14        |
| Superannuation Contribution Limits .....                                                | 15        |
| <i>Income and Expenses</i> .....                                                        | 16        |
| Superannuation Funds .....                                                              | 17        |
| Current Superannuation Structure .....                                                  | 17        |
| <u>Current</u> Superannuation Portfolio Profile Compared to Benchmark .....             | 18        |
| <u>Proposed</u> Total Superannuation Portfolio Profile Compared to Benchmark .....      | 18        |
| .....                                                                                   | 22        |
| Property .....                                                                          | 26        |
| Retirement Projections .....                                                            | 26        |
| <b>Estate Planning .....</b>                                                            | <b>29</b> |
| Wills and Testamentary Trusts .....                                                     | 29        |
| Non Estate Assets.....                                                                  | 30        |
| Future Strategy - Withdrawal and Re-Contribution (Taxable and Tax Free components)..... | 32        |
| <b>Personal Insurances.....</b>                                                         | <b>33</b> |
| <b>What is paid to your adviser .....</b>                                               | <b>34</b> |
| Plan Fee.....                                                                           | 34        |
| Upfront and Ongoing Fee Disclosure .....                                                | 34        |
| Disclosure Statement .....                                                              | 35        |
| <b>Authority to Proceed .....</b>                                                       | <b>38</b> |
| <b>Appendix A – Assumptions .....</b>                                                   | <b>40</b> |
| <b>Appendix B – Retirement Capital Projections .....</b>                                | <b>41</b> |

## Purpose of this document

The following Statement of Advice (SoA) is an outline of the financial plan discussed with your financial planner. It details the recommendations needed to execute your plan and achieve your financial objectives.

### *Timeframe for our advice*

Our recommendations in this SoA are valid for 30 days from the preparation date on the cover of this document. If your circumstances change before you implement our recommendations, or if you don't act on them within 30 days, they may no longer be appropriate for you. If that happens, please ask us to review your situation before taking any action.

### *Check for accuracy*

This SoA is based on the information you provided. Please read the document carefully, checking that your details are correct and that no important facts are missing. If anything is wrong or missing, please let us know immediately—otherwise our advice may be based on incorrect information and may not be right for you.

### *Limitations of our advice*

We cannot give advice on:

- Trust or business structures
- Taxation
- General insurance
- Direct share or property purchases
- Legal matters

Please don't consider any of this document's recommendations to be advice in any of these areas. If you need advice in these areas, please see a qualified professional in that field.

### Assumptions we've made

When giving advice, we make certain assumptions to demonstrate how the advice could affect your financial situation. We've based our advice on economic information and legislation that was current when we prepared your SoA.

All dollar amounts in this SoA are in today's dollars, even when we mention future income, expenses, investment amounts and so on. Naturally we can't predict what future inflation rates will be, so we can only make assumptions based on past trends. Also, all amounts listed in this document are "p.a." (per annum) unless otherwise stated or implied.

### ***Product selection***

We are committed to giving you the best products for your situation. When preparing your advice we considered and recommended only those products on Pareto Group's "Approved Product List". This list was compiled by a dedicated Investment Review Committee, which regularly reviews it. To see the complete product list, please ask us.

### Introduction

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You are entitled to receive a Statement of Advice (SoA) whenever we provide you with any personal financial advice. Personal financial advice is advice that takes into account any one or more of your objectives, financial situation and needs.

This SoA is a record of the personal financial advice provided to you and includes information on the basis on which this advice is given, information about remuneration including fees, any other benefits and any interests, relationships or associations which might influence the making of the advice.

If this advice includes a recommendation to you to acquire a particular financial product (other than securities) or an offer to issue or arrange the issue of a financial product to you, we will also provide you with a Product Disclosure Statement containing information about the particular product to help you make an informed decision about that product.

### The Scope of Our Advice

In this statement of advice, the main focus is on:

- Property planning and associated cash flow
- Superannuation structure and planning
- Transition to Retirement
- Retirement planning
- Estate Planning

This advice is based on information we have obtained from you. You must ensure the information is accurate and complete. Otherwise, this advice may be based on inaccurate or incomplete information relating to your investment objectives, financial situation or needs. You must therefore assess whether the advice is appropriate, in the light of your own individual investment objectives, financial situation or needs.

You recognise in each of the areas of advice we provide, we only provide advice to the extent we are able to under the relevant legislation.

### Our Investment Recommendations

In respect of the specific investments we recommend as part of our advice you are entitled to a 14 day cooling off period for your initial investment. A cooling off period generally means a period of time after which you have provided your capital for investment, where you can change your mind and request for your capital to be returned to you.

Each fund manager or investment provider may implement the cooling off period in a slightly different manner. Therefore we recommend you refer to the Product Disclosure Statement for each of the recommended investments in order to understand the operation of each provider's cooling off period.

### Your Adviser

At any time should you have any questions or concerns, in the first instance please contact your adviser Andrew Lord on (03) 9596 5111.

Andrew Lord is authorised to represent Pareto Group Pty Ltd. Should you wish to discuss matters of concern about your adviser or the advice you have received please contact us on 03 9596 5111.

### The Planning Process

Sheryl, *Financial Planning* is a process to help you reach both your Personal and Financial Goals and Objectives. In order to achieve this we jointly need to undertake a number of tasks, including:

- ✓ Confirm your personal goals and lifestyle objectives;
- ✓ Quantify the resources required to meet your goals and objectives;
- ✓ Identify any gaps in your current plans and your stated goals and objectives;
- ✓ Develop suitable strategies to address any differences that may exist bearing in mind your attitude to investing and your risk profile;
- ✓ Conduct a regular review of the strategies we put into effect to ensure they keep pace with your changing needs, legislative changes and the investment environment.

### Executive Summary

---

In this plan our advice considers the following areas of your financial circumstances.

### Your Goals and Objectives

After our discussions I have listed below what we agreed were your key goals and objectives. The points listed below form the basis of the plan I have prepared, and therefore you should read them carefully now to ensure that we have an accurate foundation on which to proceed. If there are any modifications required, please advise us prior to the commencement of your financial plan.

Your goals and objectives are to:

- Purchase a residential property to provide you with a level of security in eventual retirement.
- Achieve a position in 12 years where you do not have to pay rent or mortgage costs.
- Review your superannuation portfolio and structure.
- Explore ways in which to maximise your retirement nest egg as you move into the next phase of your working life.
- Place your future assets under the most tax effective ownership structure.



### Personal Information

During our discussions and from the information you have provided, your Personal Details can be summarised as follows:

### Personal Details

| Title             | Ms         |
|-------------------|------------|
| First Name        | Sheryl     |
| Surname           | Ovens      |
| Gender            | F          |
| Date of Birth     | 18/06/1958 |
| Age Last Birthday | 57         |
| Marital Status    | Separated  |

### Employment Details

|                   |                      |
|-------------------|----------------------|
| Employment Status | Employee – Full Time |
| Occupation        | Executive Assistant  |
| Employer          | GSK                  |

### Estate Planning

| Do you have a Current Will?             | Yes |
|-----------------------------------------|-----|
| Do you have Current Powers of Attorney? | Yes |
| Do you have a Testamentary Trust?       | No  |

### Current Assets and Liabilities

The following is an Asset and Liabilities summary that estimates your current Net Worth position based on the information provided.

#### ASSETS

| Lifestyle Assets              | Value           |
|-------------------------------|-----------------|
| Home Contents                 | \$50,000        |
| Motor Vehicle                 | \$10,000        |
| <b>Total Lifestyle Assets</b> | <b>\$60,000</b> |

| Investment Assets              |                  |
|--------------------------------|------------------|
| Cash                           | \$517,000        |
| Shares                         | \$18,000         |
| <b>Total Investment Assets</b> | <b>\$535,000</b> |

| Superannuation Assets              |                  |
|------------------------------------|------------------|
| Mercer Super Trust                 | \$177,000        |
| <b>Total Superannuation Assets</b> | <b>\$177,000</b> |

|                     |                  |
|---------------------|------------------|
| <b>Total ASSETS</b> | <b>\$772,000</b> |
|---------------------|------------------|

#### LIABILITIES

| Nil                      | \$0        |
|--------------------------|------------|
| <b>Total Liabilities</b> | <b>\$0</b> |

|                  |                  |
|------------------|------------------|
| <b>NET WORTH</b> | <b>\$772,000</b> |
|------------------|------------------|

**Notes:** As the above information has been used in preparing our recommendations please advise us of any errors or omissions.

The 'Total' column indicates the value of assets and liabilities which are owned by you. This report does not show the value of any portion of the asset or liability that may be owned by a third party or associated entity.

### Your Investor Risk Profile

The following section of your plan helps to ensure that I clearly understand your attitude to investment selection. Additionally, investments contain various characteristics, which may or may not suit each individual investor.

Based upon your responses to the Risk Profile Questionnaire, it was determined that you can be classified as a *Moderately Conservative* to *Balanced* investor.

Typically, a **Balanced** investor has the following characteristics:

- The Balanced investor will typically operate a portfolio evenly split between interest bearing securities and growth oriented investments.
- An exposure to a range of investment sectors including cash, fixed interest, property and shares ensures the portfolio is “truly” balanced.
- Investors are typically comfortable with a variability of their capital over a 5 year horizon while their portfolio builds a growing income stream and capital growth.

A Balanced investor will typically diversify their investment in the following manner:

|                      |     |
|----------------------|-----|
| Australian Shares    | 34% |
| International Shares | 20% |
| Fixed Interest       | 26% |
| Property             | 14% |
| Cash                 | 6%  |

Typically, a **Moderately Conservative** investor has the following characteristics:

- The Moderately Conservative investor seeks a diversified portfolio with a balance of defensive and growth assets.
- This requires an investment time horizon of between 3 – 5 years.
- The portfolio would be include a high portion of income bearing securities such as cash and fixed interest, with a small exposure to equities and property providing appreciation potential.

A **Moderately Conservative** investor will typically diversify their investment in the following manner:

|                      |     |
|----------------------|-----|
| Australian Shares    | 24% |
| International Shares | 14% |
| Fixed Interest       | 38% |
| Property             | 10% |
| Cash                 | 14% |

Therefore, a **Moderately Conservative** to **Balanced** investor will typically diversify their investment in the following manner:

|                      |     |
|----------------------|-----|
| Australian Shares    | 29% |
| International Shares | 17% |
| Fixed Interest       | 32% |
| Property             | 12% |
| Cash                 | 10% |

Our research indicates that long term returns will be best achieved through a diversified portfolio covering all major asset classes (i.e. Cash, Fixed Interest, Shares and Property).

By covering all primary investment markets the risks and volatility of your investments can be managed to levels consistent with your investment profile, whilst maintaining the potential for long term growth.

Any recommendation will be based on your risk tolerance, while in balance with your goals and objectives.

## Strategy Recommendation

### Tax Rates

When assessing the most tax effective environment for your investment assets, we need to consider the tax that would be payable on any income that these investments will generate. The current tax rates are as follows:

#### Income Earned in your personal name

##### *Tax rates 2015-16*

| <b><i>Taxable income</i></b> | <b><i>Tax on this income</i></b>              |
|------------------------------|-----------------------------------------------|
| \$1 – \$18,200               | Nil                                           |
| \$18,201 – \$37,000          | 19c for each \$1 over \$18,200                |
| \$37,001 – \$80,000          | \$3,572 plus 32.5c for each \$1 over \$37,000 |
| \$80,001 – \$180,000         | \$17,547 plus 37c for each \$1 over \$80,000  |
| \$180,001 and over           | \$54,547 plus 45c for each \$1 over \$180,000 |

\* The above rates **do not** include the Medicare levy of 2.0%.

#### Income Earned in the superannuation environment

Superannuation in 'accumulation' phase - Tax rate = 15%

Superannuation in 'pension' phase - Tax rate = 0%

## Tax on superannuation earnings, contributions and income streams

|                                             | Non-superannuation                                                      | Super<br>accumulation<br>phase                     | Super pension phase                             |                 |
|---------------------------------------------|-------------------------------------------------------------------------|----------------------------------------------------|-------------------------------------------------|-----------------|
|                                             |                                                                         |                                                    | Age 55-59                                       | After age 60    |
| Salary/pension income                       | Marginal tax rate (max 45% + medicare)                                  | n/a                                                | Marginal tax rate (less 15% rebate ) + medicare | <b>Tax free</b> |
| Super contributions (SGC, salary sacrifice) | n/a                                                                     | <b>15%</b>                                         | n/a                                             | n/a             |
| Investment income                           | Marginal tax rate (max 45% + medicare)                                  | Maximum 15%                                        | <b>Tax free</b>                                 | <b>Tax free</b> |
| Capital gains                               | <b>Marginal tax rate</b> (50% discount if held for more than 12 months) | <b>10%</b> (15% if asset held less than 12 months) | <b>Tax free</b>                                 | <b>Tax free</b> |

## Superannuation Contribution Limits

**Table 1- Concessional contribution limits**

Concessional contributions include employer and self-employed contributions such as salary sacrifice, superannuation guarantee and personal concessional contributions.

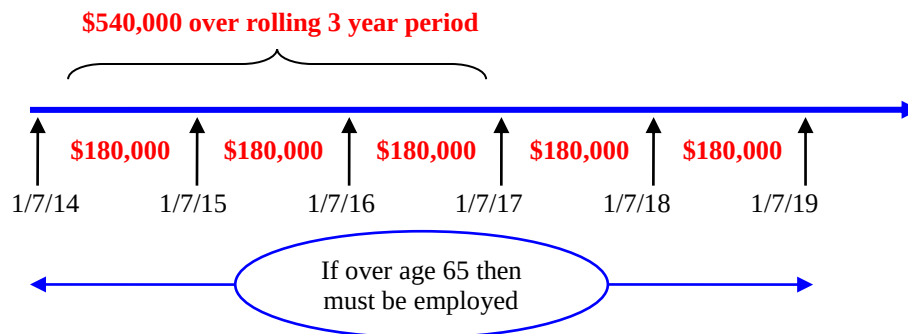
| Date             | Limit (per annum) |           |           |            |                 |
|------------------|-------------------|-----------|-----------|------------|-----------------|
|                  | To Age 49         | Age 50-59 | Age 60-65 | Age 65-74* | Age 75 and over |
| From 1 July 2012 | \$25,000          | \$25,000  | \$25,000  | \$25,000   | SGC only        |
| From 1 July 2013 | \$25,000          | \$25,000  | \$35,000  | \$35,000   | SGC only        |
| From 1 July 2014 | \$30,000          | \$35,000  | \$35,000  | \$35,000   | SGC only        |

\*Must be employed at least 40 hours during any consecutive 30 day period in the financial year you would like to make the contributions.

Concessional Contributions were previously known as Deductible Contributions (e.g. Salary Sacrifice).

**Table 2 - Non-concessional contribution limits**

| Date             | Limit on after-tax contributions | Eligibility Requirements                                                                            |                  |                   |
|------------------|----------------------------------|-----------------------------------------------------------------------------------------------------|------------------|-------------------|
|                  |                                  | Under age 65                                                                                        | Age 65 to 74     | Age 75 and over   |
| From 1 July 2007 | \$150,000 p.a.                   | May bring forward two years of contributions to make a \$450,000 contribution in one financial year | Must be employed | Cannot contribute |
| From 1 July 2014 | \$180,000 p.a.                   | May bring forward two years of contributions to make a \$540,000 contribution in one financial year | Must be employed | Cannot contribute |



### Income and Expenses

The following is a summary of your Income and Expenses that estimates your overall Cash Flow position based on the information provided.

#### Estimated Tax Liability

| Income Source                                  | Amount Received | Deductions | Taxable Income   | Tax             |
|------------------------------------------------|-----------------|------------|------------------|-----------------|
| Gross Income (salary)                          | \$106,103       |            |                  |                 |
| Interest Income*                               | \$12,925        |            |                  |                 |
| <b>Deductions</b>                              |                 |            |                  |                 |
| Salary Sacrifice                               |                 | (\$8,400)  |                  |                 |
| <b>TAXABLE INCOME</b>                          |                 |            | <b>\$110,628</b> |                 |
| <b>Tax Payable before Rebates/Credits</b>      |                 |            |                  | <b>\$28,879</b> |
| Low Income Tax Offset                          |                 |            |                  | \$0             |
| <b>Total Rebates &amp; Credits</b>             |                 |            |                  | <b>\$0</b>      |
| <b>TAX PAYABLE after REBATES &amp; CREDITS</b> |                 |            |                  | <b>\$28,879</b> |
| Medicare Levy                                  |                 |            |                  | \$2,213         |
| <b>NET TAX</b>                                 |                 |            |                  | <b>\$31,092</b> |

\* Interest income has been estimated based on \$517,000 earning an annual interest of 2.5%

#### Estimated Cash Flow

Adequate cash flow to meet living expenses is fundamental to achieving your financial objectives. Based on the estimated income from your recommended portfolio, other income and expenses (inclusive of GST) and estimated tax, we estimate your cash flow to be as follows.

|                                      | Total            |
|--------------------------------------|------------------|
| <b>Income</b>                        |                  |
| Income Received                      | 110,628          |
| <b>Sub Total</b>                     | <b>\$110,628</b> |
| Less Net Income Tax                  | (\$31,092)       |
| <b>Net Income</b>                    | <b>\$79,536</b>  |
| Less Rental Expense (\$425 p.w.)     | \$22,100         |
| Less Budgeted Expenditure            | \$40,626         |
| <b>Income Surplus (\$1,400 p.m.)</b> | <b>\$16,800</b>  |

#### NB:

The budgeted expenditure has been calculated based on your advice that you currently have an approximate monthly cash flow surplus of \$1,400.

*Please highlight any discrepancies that you think will have a material effect on your cash flow surplus.*



### Superannuation Funds

Sheryl, you currently have the following approximate superannuation balance:

- **Mercer Super Trust - \$177,000**

#### Recommendations:

- Take advantage of the Transition to Retirement rules and commence a pre-retirement allocated pension by rolling over all but the minimum balance (\$5,000) of your Mercer Super Fund into the recommended wholesale pension fund. Based on the above figures the initial balance will be **\$172,000**.
- The recommended wholesale pension fund will be invested in a “moderately conservative to balanced” portfolio, so it is in line with your risk profile.

#### Benefits:

- The recommended wholesale pension fund has a sector specific asset allocation strategy that takes advantage of expert fund managers who specialise in that single sector.
- You will have access to a wide range of investment options within the recommended wholesale fund with access to more than one specialist manager within each asset class.
- You will gain ongoing advice from us as your financial adviser as we will have full access to information relating to the recommended wholesale fund. This will enable us to provide thorough and timely advice to you.

#### Risks:

- The recommended investment’s performance is subject to market fluctuations.
- Investment performance is not guaranteed.

### Current Superannuation Structure

Sheryl, within the Mercer Super Trust, your funds were automatically transferred from the Mercer Growth option to the Mercer Smartpath – 1954 to 1958 option. This is the MySuper low fee-low maintenance option linked to your employer fund.

The current asset allocation of your super fund is:

| Asset Class          | % of Portfolio |
|----------------------|----------------|
| Australian Shares    | 23.5%          |
| International Shares | 23.0%          |
| Property             | 10.5%          |
| Fixed Interest       | 5.0%           |
| Cash                 | 33.0%          |
| Other                | 5.0%           |
|                      | <b>100.00%</b> |

### Current Superannuation Portfolio Profile Compared to Benchmark

| Asset Class          | Current Portfolio | Benchmark Profile for Moderately Conservative to Balanced | Deviation |
|----------------------|-------------------|-----------------------------------------------------------|-----------|
| Australian Shares    | 23.5%             | 29%                                                       | -5.5%     |
| International Shares | 23.0%             | 17%                                                       | +6.0%     |
| Property             | 10.5%             | 12%                                                       | -2.0%     |
| Fixed Interest       | 5.0%              | 32%                                                       | -27.0%    |
| Cash                 | 33.0%             | 10%                                                       | +23.0%    |
| Other                | 5.0%              | 0%                                                        | +5.0%     |

### Proposed Total Superannuation Portfolio Profile Compared to Benchmark

| Asset Class          | Projected Portfolio | Benchmark Profile for Moderately Conservative to Balanced | Deviation |
|----------------------|---------------------|-----------------------------------------------------------|-----------|
| Australian Shares    | 29%                 | 29%                                                       | 0%        |
| International Shares | 17%                 | 17%                                                       | 0%        |
| Property             | 12%                 | 12%                                                       | 0%        |
| Fixed Interest       | 32%                 | 32%                                                       | 0%        |
| Cash                 | 10%                 | 10%                                                       | 0%        |
| Other                | 0%                  | 0%                                                        | 0%        |

As an industry standard, a variance of 10% within a particular asset class is allowed to cater for individual circumstances, economic events and fund manager asset allocation decisions. Variations outside of this range may be appropriate in certain circumstances.

### Transition to Retirement

The aim of a 'Transition to Retirement' strategy is to utilise current legislation to increase superannuation contributions whilst remaining cash flow neutral.

Current legislation allows you, Sheryl (as you have reached preservation age of 55), to commence a non-commutable income stream with your superannuation monies without having to satisfy a condition of release. From age 60, all income received from this income stream are tax free. Once you have commenced an income stream all income on the amount funding the income stream is tax free as opposed to being taxed at 15% when in accumulation phase.

The minimum pension amount that you must draw is 4% per annum whilst the maximum pension you can draw is 10%, with the specific amounts being re-calculated in July each year.

The additional income received from your pre-retirement income stream allows you to make additional contributions to superannuation in the form of salary sacrifice. Salary sacrifice contributions are pre-tax contributions and therefore result in a reduction of assessable income. These superannuation contributions are concessional taxed at a maximum of 15% as opposed to marginal tax rates of up to 47%.

The 'Transition to Retirement' strategy results in an increased net inflow to superannuation and therefore a maximisation of your retirement savings in a tax effective manner.

### Pre-Retirement Income Stream

#### Options:

- Sheryl, you may commence a non-commutable pre-retirement allocated pension with **\$172,000** made up of all but the minimum of your Mercer super fund.
- Sheryl, commence the minimum pension income stream. This is estimated as **\$6,880** per annum (\$573 per month approx.).
- This pension income is to be used to supplement your income that you will salary sacrifice to superannuation.

#### Benefits:

- By commencing a pre-retirement income stream you are increasing your income in a tax effective manner and therefore allowing you to commence a salary sacrifice arrangement.
- There is an immediate income tax benefit on withdrawal and re-contribution via salary sacrifice, as a result of this strategy.
- Sheryl, as a result of implementing this strategy your total superannuation benefit after the first year will be around **\$6,720** higher than if you did nothing other than continued on as you are. We would expect a similar result each year until you reach age 60, when the benefits may become greater.
- Once you commence an income stream, the earnings on your pension account balance become tax free. We estimate that this will contribute to a total tax saving of approximately **\$4,183** per annum.
- **Sheryl, please see the table on the following page that depicts the effect a Transition to Retirement Strategy may have in the first year of such a strategy being undertaken.**

## Planning – Recommendations

| Sheryl Ovens                                    | Current Position | Transition to Retirement Pension and making salary sacrifice contributions |
|-------------------------------------------------|------------------|----------------------------------------------------------------------------|
| <b>INCOME EFFECT</b>                            |                  |                                                                            |
| Salary (after salary sacrifice)                 | \$97,703         | \$81,703                                                                   |
| Interest Income                                 | \$12,925         | \$12,925                                                                   |
| Pension                                         | \$0              | \$6,880                                                                    |
| Gross Income                                    | \$110,628        | \$101,508                                                                  |
| Total Tax                                       | -\$31,092        | -\$26,503                                                                  |
| <b>Net Income</b>                               | <b>\$79,536</b>  | <b>\$75,005</b>                                                            |
| <b>SUPERANNUATION EFFECT</b>                    |                  |                                                                            |
| Gross Contribution                              | \$18,507         | \$34,507                                                                   |
| Tax on Contribution (15%)                       | -\$2,776         | -\$5,176                                                                   |
| Net Contribution                                | \$15,731         | \$29,331                                                                   |
| Pension Paid                                    | 0                | -\$6,880                                                                   |
| <b>Overall impact on superannuation account</b> | <b>+\$15,731</b> | <b>+ \$22,451</b>                                                          |
| <b>TAX EFFECT</b>                               |                  |                                                                            |
| Income Tax                                      | -\$31,092        | -\$26,503                                                                  |
| Contribution Tax (15%)                          | -\$2,776         | -\$5,176                                                                   |
| Super Fund Tax<br>(7% earnings @15%)            | -\$1,859         | \$0                                                                        |
| <b>Total Tax</b>                                | <b>-\$30,686</b> | <b>-\$26,503</b>                                                           |

### Risks:

- Your income stream capital is subject to market performance fluctuations which may have a flow on effect to your income received.
- **A condition of the transition to retirement income stream is that it is non-commutable – no lump sum withdrawals can be made until you satisfy a condition of release.**

### *Salary Sacrifice to Superannuation*

#### Recommendation:

- Increase your superannuation salary sacrifice arrangement from \$700 p.m. to **\$2,033 p.m.** This will equate to an **annual salary sacrifice of \$24,400**. This, combined with your employer contributions, should result in total contributions of \$34,507 which falls within the \$35,000 p.a. concessional contribution cap.
- Arrange this with your employer once your pension fund has been set up.

#### Benefits:

- Salary sacrifice contributions are made with pre-tax dollars and therefore you will receive a reduction in taxable income for the contributions that you make.
- Sheryl, your salary sacrifice contributions will be taxed at a maximum of 15% compared to at your marginal tax rate if taken as income.
- **The total net tax saving, including contributions tax, for a full financial year is \$4,183.**
- **You have increased your NET superannuation contributions by \$13,600 p.a. to build a capital base to meet your retirement income goals.**

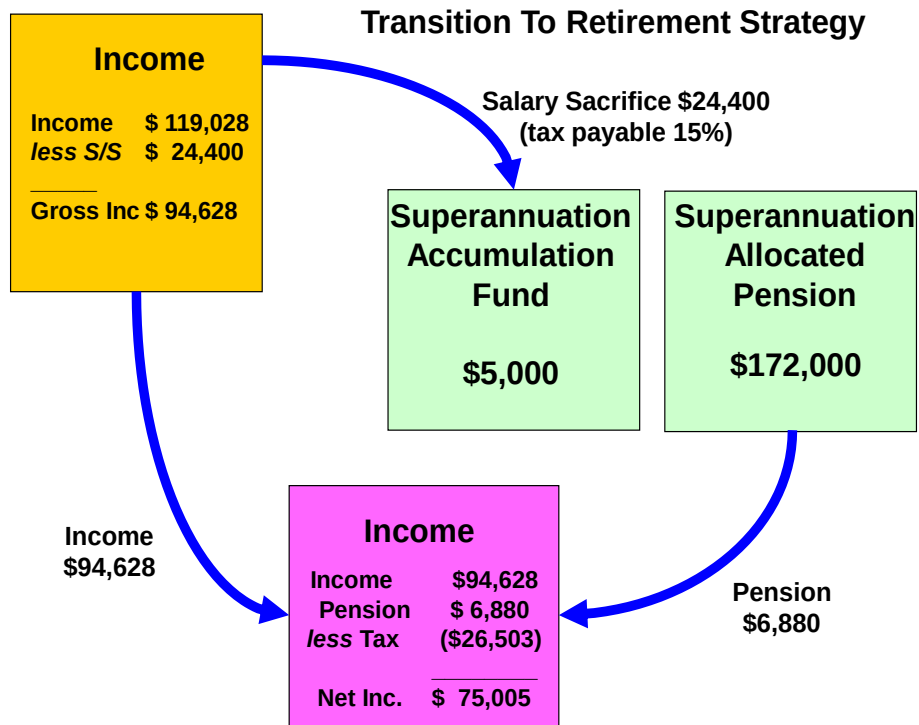
#### Risks:

- Superannuation benefits are subject to market returns and earning rates are not guaranteed.

#### IMPORTANT:

It is important that any salary sacrifice arrangement is clearly documented in writing. You should also confirm with your employer that they are going to continue to pay Superannuation Guarantee Contributions (SGC) on the grossed up amount of your package, i.e. that the SGC will continue to be calculated on the total of your salary + salary sacrificed amount.

Full Financial Year - Sheryl



### Colonial FirstChoice Wholesale Investments

The FirstChoice Investments is a multi-manager investment solution which combines wide investment choice with a competitive and simple fee structure, backed up by a high standard of service support from Colonial First State.

A minimum total investment of \$5,000 (\$1,500 for super) is required to establish an account in FirstChoice Investments. A \$1,000 minimum initial balance is required if a regular investment plan is set up at commencement of the account. The minimum regular investment plan amount is \$100 per month.

#### Reasons and Benefits

The major features of the Colonial FirstChoice Investments are as follows:

##### Sector Specific Diversification

A strong range of investment options with access to more than one specialist manager within each asset class. This approach captures the competitive advantages of each manager. We anticipate this will provide higher returns than can be obtained from using diversified funds with, say, only one fund manager.

##### Simplicity

Consolidated reporting from Colonial First State.

##### Ease of Management

Automatic investment re-balancing and switching to help you easily and conveniently keep your investment strategies on track.

- We recommend that annual automatic rebalancing is elected.

##### Highly competitive and simple to understand fee structure

- No entry fee applies to this investment however, with your agreement; your Financial Adviser may wish to charge a one off fee for upfront costs.
- You can agree with your Financial Adviser to have an ongoing Adviser Service Fee for advice paid directly from your investment. The ongoing fee will be deducted monthly from your investment options.
  - **Our normal 0.60% p.a. Adviser Service fee will apply.**
- No switching fees or exit fees apply to this investment.

### Colonial FirstChoice Management Fee

Colonial FirstChoice charges a Management Expense Ratio to cover their administration costs and the associated costs of managing your funds. Based on your proposed portfolio value, we have provided an estimation of the costs you will pay.

| Colonial FirstState FirstChoice Wholesale Pension     | MER %        | Amount invested <sup>①</sup><br>\$ | Estimated fee<br>\$ |
|-------------------------------------------------------|--------------|------------------------------------|---------------------|
| BT Wholesale Core Australian Share                    | 1.04%        | \$15,480                           | \$161               |
| Fidelity Wholesale Australian Equities                | 1.10%        | \$13,760                           | \$150               |
| Perennial Wholesale Value Australian Share            | 1.04%        | \$13,760                           | \$143               |
| CFS Wholesale Small Companies - Core                  | 1.14%        | \$6,880                            | \$78                |
| BT Core Wholesale Global Share Fund (AQR)             | 1.36%        | \$10,320                           | \$140               |
| Platinum Wholesale International                      | 1.87%        | \$10,320                           | \$191               |
| MFS Wholesale Global Equity                           | 1.30%        | \$8,600                            | \$109               |
| BT Wholesale Property Investment                      | 1.10%        | \$6,880                            | \$75                |
| CFS Wholesale Global Listed Infrastructure Securities | 1.27%        | \$6,880                            | \$86                |
| CFS WS Global Property Securities                     | 1.05%        | \$6,880                            | \$72                |
| FirstChoice Wholesale Fixed Interest                  | 0.80%        | \$55,040                           | \$440               |
| CFS Wholesale Cash Fund                               | 0.43%        | \$17,200                           | \$74                |
| <b>Total ongoing fees<sup>①</sup></b>                 | <b>1.00%</b> | <b>\$172,000</b>                   | <b>\$1,721</b>      |

- ① Colonial FirstChoice's Management Fee is calculated on the value of your total portfolio. As such we have used your proposed portfolio to estimate your annual ongoing fee.

**Please note that there is an additional adviser service fee of 0.60% that is paid by you.**



### Replacement of an Existing Product

| Type of Fee or Cost                                                                                                                                                | Mercer Super Trust –<br>Smartpath Fund                           | Colonial WS Pension<br>Fund |
|--------------------------------------------------------------------------------------------------------------------------------------------------------------------|------------------------------------------------------------------|-----------------------------|
| <b>Contribution/Entry fee</b> – this is the fee for initial and subsequent contributions.                                                                          | Nil                                                              | Nil                         |
| <b>Withdrawal/Exit Fee</b> – this is the fee for each withdrawal you make                                                                                          | Nil                                                              | Nil                         |
| <b>Switching Fee</b> – fee charged for switching between investment options in the super fund.                                                                     | Nil                                                              | Nil                         |
| <b>Administration Costs</b> – are the fees and costs that cover the operation of the fund. They include admin, member and other fees charged by the product issuer | Admin – 0.19% p.a.<br>Expense – 0.05% p.a.<br>Member - \$80 p.a. | Nil                         |
| <b>Adviser Service Fee</b> – additional fee paid to financial adviser                                                                                              | Nil                                                              | 0.60%                       |
| <b>Investment Costs</b> – are the fees and costs the product issuer charge for investing the assets. These include fees paid to external fund mgrs.                | 0.36% p.a.                                                       | 1.00%                       |
| <b>Annual average cost* on Total \$172,000 investment</b>                                                                                                          | \$1,112 p.a.                                                     | \$2,752 p.a.                |

\*Based on total superannuation balance

#### Outcomes Post Recommendation:

- Your superannuation capital will be invested in-line with your “moderately conservative to balanced” investor risk profile and structured in a more actively managed portfolio. This should position you to avail of superior annual returns.

### Property

This section of your Statement of Advice outlines various scenarios in terms of purchasing a property and the associated impact on your cash flow and retirement planning.

Taking into consideration your wish to retire in 12 years' time and to keep an initial buffer of \$50,000 in the bank, we have considered the following scenarios:

| Scenario | House Purchase Price | Stamp Duty | Cash Contribution | Associated Loan |
|----------|----------------------|------------|-------------------|-----------------|
| A        | \$500,000            | \$21,970   | \$450,000         | \$71,970        |
| B        | \$550,000            | \$24,970   | \$450,000         | \$124,970       |
| C        | \$600,000            | \$31,070   | \$450,000         | \$181,070       |
| D        | \$650,000            | \$34,070   | \$450,000         | \$234,070       |

In order to repay the associated loan under each scenario over a 12 year period, we have estimated that the following annual repayments will be required:

| Scenario | Associated Loan | Monthly repayments to reduce debt to NIL after 12 years | Annual repayments to reduce debt to NIL after 12 years |
|----------|-----------------|---------------------------------------------------------|--------------------------------------------------------|
| A        | \$71,970        | \$666                                                   | \$7,992                                                |
| B        | \$124,970       | \$1,156                                                 | \$13,872                                               |
| C        | \$181,070       | \$1,675                                                 | \$20,100                                               |
| D        | \$234,070       | \$2,165                                                 | \$25,980                                               |

### Retirement Projections

In Appendix B, we have projected your retirement capital under each of the scenarios detailed above. As a starting point, we have also projected your retirement capital without talking into consideration a potential property purchase – both with and without the Transition to Retirement Strategy detailed earlier. The assumptions used within these projections are:

- Interest rate on residential mortgage of 5.0% p.a.
- Earning rate on superannuation of 6% p.a.
- Growth rate on property of 5% p.a.
- Any loan is repaid over a 12 year period.
- Surplus funds under the Transition Retirement Strategy are contributed to cash reserves.
- Retirement at age 70.

### Scenario 1

- Retain existing superannuation structure.
- No property purchase.

### Scenario 2

- Implement Transition to Retirement Strategy.
- No property purchase.

### Scenario 3

- Implement Transition to Retirement Strategy.
- Purchase a property for \$500,000 + Stamp Duty

### Scenario 4

- Implement Transition to Retirement Strategy.
- Purchase a property for \$550,000 + Stamp Duty

### Scenario 5

- Implement Transition to Retirement Strategy.
- Purchase a property for \$600,000 + Stamp Duty

### Scenario 6

- Implement Transition to Retirement Strategy.
- Purchase a property for \$650,000 + Stamp Duty

### Retirement Projections

Under each of these scenarios we have calculated your projected superannuation capital position assuming various rates of return on your capital and associated expenses depending on the structure.

A summary of these projections is detailed in the following table:

| Scenario | Age | Superannuation Capital | Cash      | Total Liquid Capital | Residential Property Value | Total Overall Capital |
|----------|-----|------------------------|-----------|----------------------|----------------------------|-----------------------|
| 1        | 70  | \$621,540              | \$827,983 | \$1,449,523          | N/A                        | \$1,449,523           |
|          | 80  | \$1,113,083            | \$74,385  | \$1,187,468          | N/A                        | \$1,187,468           |
| 2        | 70  | \$596,926              | \$910,179 | <b>\$1,507,105</b>   | N/A                        | \$1,507,105           |
|          | 80  | \$659,378              | \$599,463 | <b>\$1,258,841</b>   | N/A                        | \$1,258,841           |
| 3        | 70  | \$596,926              | \$383,787 | \$980,713            | \$897,928                  | <b>\$1,878,641</b>    |
|          | 80  | \$659,378              | \$191,000 | \$850,378            | \$1,462,630                | \$2,313,008           |
| 4        | 70  | \$596,926              | \$290,196 | \$887,122            | \$987,721                  | \$1,874,843           |
|          | 80  | \$659,378              | \$38,549  | \$697,927            | \$1,608,893                | \$2,306,820           |
| 5        | 70  | \$596,926              | \$191,064 | \$787,990            | \$1,077,514                | \$1,865,504           |
|          | 80  | \$573,219              | \$5,932   | \$579,151            | \$1,755,156                | <b>\$2,334,307</b>    |
| 6        | 70  | \$596,926              | \$97,471  | \$694,397            | \$1,167,307                | \$1,861,704           |
|          | 80  | \$397,113              | \$23,637  | \$420,750            | \$1,901,419                | \$2,322,169           |

***A copy of the calculations used to derive the different outcomes detailed above is contained in the appendix at the rear of this Statement of Advice.***

### Estate Planning

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Although considerable emphasis is placed on wealth creation and protection, a third vital aspect of your financial strategy is the control of the manner in which your wealth will be distributed after your death.

The expression “Estate planning” represents the concept of the planning and documentation of your wishes for the distribution of your wealth following death, whether the assets are held personally or controlled by related entities such as trusts or companies.

Estate planning is a specialised area, and it is important that you obtain professional advice in relation to all areas of your estate plan. However we outline below some of the issues you should consider in designing your estate plan.

### Wills and Testamentary Trusts

A Will is the first step in ensuring that the distribution of your estate is actioned in accordance with your wishes. If you die without a Will (intestate), it may be that a court will control both the manner of distribution of your estate and the persons to whom your estate is distributed, and this can cause unnecessary distress.

***You have advised us that you have a Will, but it does not have testamentary trust provisions.***

#### **Recommendation:**

- **We recommend you consult our legal department to ensure one is prepared as soon as possible.**

It is important to ensure your Wills:

- Nominates executors (and substitute executors) who are likely to survive you and who clearly understand your wishes.
- Nominates beneficiaries in relation to every segment of your estate and nominates alternative beneficiaries should your primary beneficiaries predecease you.
- Bequeaths monetary value or a percentage of your estate rather than a specific asset, as there is the risk that an asset may not be in existence at the time of distribution of the estate.
- Includes provision for the establishment of a testamentary trust, which can be a tax effective tool for distributing your estate.

### Benefits:

- Peace of mind, knowing all your wishes are detailed to be carried out, and plans articulated for your immediate family to be adequately provided for in the event of your death.
- If your Wills incorporate a testamentary trust, your assets would pass into a discretionary trust (or multiple trusts) and be held for the benefit of your beneficiaries, (rather than directly by them).
- This could be determined on an annual basis having regard to each beneficiary's personal income and taxation circumstances (importantly, income distributed from a testamentary trust to minors is taxed at normal adult marginal tax rates), as well as family circumstances (assets held within a testamentary trust may provide some protection in the event of family breakdown or bankruptcy).

## Non Estate Assets

**It is important your estate planning arrangements incorporate your entire asset base.**

### Recommendation:

- We recommend you [consult an approved legal practitioner](#). [We have an arrangement with Lakeside Lawyers Pty Ltd who will be able to assist you with this.](#)

Although a Will constitutes a vital part of your estate planning arrangements, not all of your assets are automatically subject to the provisions of a Will. Examples of such 'assets' are as follows:

- Superannuation assets – the Trustee of a superannuation fund is required to distribute your superannuation monies (including any life insurance benefits paid as a result of the death of the member) in accordance with the Trust Deed. You usually have the option of informing the Trustee of your preferences in relation to the distribution of your funds, but this may or may not be binding on the Trustee.
- Jointly held assets – if assets are held as 'joint tenants', then upon the death of one of the owners the asset automatically passes in full to the other owner (no matter what is said in the Will of the deceased co-owner). On the other hand, assets held as 'tenants in common' are able to be disposed of as part of a Will.
- Life insurance policies – depending on the ownership of the policy, benefits can be paid to the following - the deceased's estate and therefore distributed through their Will (when the owner of the policy is also the insured person) - a person who has been nominated as the beneficiary of a policy by the deceased owner (in which case the beneficiary automatically receives the proceeds of the policy) - or any third party who owns the policy.
- Assets owned by a Trust – these assets are legally owned by the Trustee of the Trust and therefore are not able to be dealt with through a person's Will.

(Note: In recent times, the use of Trusts as an estate planning vehicle has become wide spread and your solicitor or other business adviser should be consulted if you wish to exercise a measure of control over the way in which Trust assets are managed or distributed. For example if a company acts as trustee for a Trust, you may retain an interest in the company and therefore the trust by owning shares in that company.)

- Assets owned by a company – only the deceased's shares in the company may be dealt with through their Will.

## Powers of Attorney

This element of your estate plan is designed to be implemented prior to your death so that your affairs can be conducted appropriately.

***You have advised us you have Powers of Attorney.***

### Recommendation:

- **We recommend you consult our legal department for a review.**

There are three 'standard' types of Power of Attorney:

- A general Power of Attorney which can provide the donee with restricted or unrestricted authority over the donor's financial affairs (but not their health care). Such a policy lapses if the donor loses mental capacity.
- An enduring Power of Attorney which provides the donee with authority over the donor's financial affairs (but not their health care) until they die (i.e. it extends beyond any loss of mental capacity).
- An enduring medical Power of Attorney which provides the donee with authority over the medical needs of the donor if the donor himself is unable to make such decisions (whether temporarily or permanently).

**Note 1** - A Power of Attorney may only be granted by someone who is over the age of 18 and who is of sound mind at the time of the grant and capable of fully understanding the nature and purpose of the document they are signing.

**Note 2** - The attorney is not able to do anything illegal while operating under a Power of Attorney, nor is he/she able to sign a Will on behalf of the donor, or to transfer the Power of Attorney to someone else unless authorised to do so.

### Future Strategy - Withdrawal and Re-Contribution (Taxable and Tax Free components)

This is an estate planning strategy for people in retirement or nearing retirement that effectively converts a percentage of the taxable superannuation component into a tax-free component.

In other words this strategy produces a higher tax-free amount than would otherwise be available. Note that a non-dependant beneficiary is liable for tax at 17% (including Medicare) on any taxable superannuation amounts received. Non-dependant beneficiaries include adult children over the age of 18.

You may withdraw and re-contribute your superannuation account balance in stages to convert it into tax-free component.

This must be done within the contribution limits detailed in the 'Superannuation Contribution Limits' section of this Statement of Advice.

**The purpose of this strategy is to arrive at a position in which the highest percentage possible of your superannuation fund is tax-free component by withdrawing current superannuation funds, and making non-concessional (after tax) contributions back into the superannuation environment. Non-concessional contributions are contributed back in as tax-free monies.**

Upon death, all funds in the tax-free component are passed to beneficiaries, including tax non-dependants, tax free.

Any funds passed to tax non-dependants from the taxable component are taxed at 17% (Incl Medicare).

#### **Benefits:**

- This strategy will reduce the level of tax payable upon payment of your Death Benefit to your non-dependant beneficiaries.
- The potential tax saving is 17% (including medicare levy) of the amount that has been converted from a taxable to a tax-free component. For example, based on a \$177,000 taxable component (your current combined taxable component) this would be a **\$30,090 saving**.



### Personal Insurances

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The objective of having insurance cover over your life and your assets is to protect yourself and your family from financial distress in the event of death, illness or accident. Where such an event occurs there is often considerable emotional distress. Financial planning aims to remove the financial distress at such a time.

There are two ways you can manage this type of risk:

- Self insurance; or
- Transfer of the risk/insurance to an insurance company.

There are many instances where people effectively elect to self-insure through lack of planning. This means an event occurs which causes financial distress and people manage on what they have set aside. Other ways of self-insuring are by planning and setting aside funds for protection in such an event. The most common form is, however, to recognise the risk and evaluate how much protection is required and then transfer that risk to an insurance company.

### Personal Insurance - Review Recommendation

Managing risk is an important part of the financial planning process in order to provide protection against possible future financial loss. Insurance is a simple precaution you can take to protect against the financial consequences of premature death, a medical crisis, total and permanent disablement or temporary disablement.

### Existing Cover Amounts

**You currently have the following cover in place:**

|                    |           |
|--------------------|-----------|
| Life Insurance:    | \$139,532 |
| TPD:               | \$139,532 |
| Trauma:            | \$0       |
| Income Protection: | \$0       |

Our Insurance Adviser – Andrew Edwards – has conducted a review of your existing cover and will provide recommendations to you via a separate report.

### What is paid to your adviser

#### Plan Fee

You have agreed to a Plan Fee of \$2,750 (Including GST), which can be paid from superannuation monies, or invoiced to you.

#### Upfront and Ongoing Fee Disclosure

The following is provided to assist you to gain a clear understanding of the payments and benefits that Pareto Group Pty Ltd, our associates and I will be entitled to receive for services provided to you, if you adopt the recommendations in this plan.

There is an entry fee payable of which the break-up of the fee is disclosed as follows:

|                                        |                  | Total Fee Paid by Client |                | Total Payable to Financial Service Licensee/Financial Adviser and /or its Associates |                |             |                  |
|----------------------------------------|------------------|--------------------------|----------------|--------------------------------------------------------------------------------------|----------------|-------------|------------------|
| Investment Details                     | Amount Invested  | (%)                      | (\$)           | Initial (%)                                                                          | Initial (\$)   | Ongoing (%) | Ongoing (\$)     |
| Colonial FirstChoice Wholesale Pension | \$172,000        | Flat Fee                 | \$2,750        | Flat Fee                                                                             | \$2,500        | 0.60        | \$1,032pa        |
| <b>Total</b>                           | <b>\$172,000</b> |                          | <b>\$2,750</b> |                                                                                      | <b>\$2,500</b> |             | <b>\$1,032pa</b> |

\* The ongoing investment amount has been annualised to provide you with a clear picture of how fees are paid from your investment. Your regular contribution is placed into the individual underlying funds according to the % split of the allocation of your original investment.

**The agreed Ongoing fee** is the way we charge for the ongoing service that we provide. If at any time you wish to discuss this you can do so.

I am an authorised representative of Pareto Group Pty Ltd (ABN 11 155 278 078), which holds an Australian Financial Services Licence (AFSL #418700).

### Disclosure Statement

To help you understand the full benefits, details and risks of our recommended products, please read the Product Disclosure Statements that we will provide you.

Please let us know if you have any questions.

#### **Cooling-off periods**

After investing in a financial product, you have a “cooling-off” period in which to change your mind if you don’t think the product meets your needs. The cooling-off period usually starts when you’re told the product has been set up. The length of the period varies with each product.

Each Product Disclosure Statement explains your cooling-off rights.

If you wish to cancel a product, please tell us in writing so we can contact the product issuer within the time restrictions.

#### **No guarantee**

The investments we recommend for you must be appropriate for you. However, we don’t guarantee they’re the best available or that they’ll perform in a particular way. Product performance depends on the features and risks described in the Product Disclosure Statements given to you.

Please take the time to read the PDS and understand the products we have recommended. If you have any questions, please contact us.

#### **Tax**

There will be tax implications if you act on this advice. We recommend you ask a tax professional to assess the impact on your short and long-term financial positions.

### Are My Product Recommendations Restricted?

#### *Non Superannuation Products*

Yes, when making non superannuation product recommendations I can only choose products from our Approved Product List (APL). This list is compiled by a dedicated Investment Committee, made up of Research Manager, Directors and Representatives who carefully analyse investment products, prior to including any product on the APL. The Committee utilises leading industry research houses to assist with their analysis.

The APL is regularly reviewed to ensure that all funds, managers and investment companies continue to meet our ongoing stringent requirements.

#### *Superannuation Products*

Yes, when making superannuation product recommendations I can only choose products from our Approved Product List (APL). However, if you have a superannuation product that is not on our APL, I am still able to make recommendations in relation to that fund providing I have conducted the necessary research and have a thorough knowledge of the fund.

### **What is My Responsibility to You?**

I am responsible for providing you a 'clear, concise & an effective' method of communicating my recommendations to you. The recommendations are based on your goals and objectives, personal and financial situations, and other information collected from you. The recommendations are appropriate for your needs and current situation.

As the SoA is specifically prepared for you and based on your situation, I do not take any responsibility for any third party persons acting on all or on a part of any advice or recommendations made in this SoA.

### **Do I Guarantee the Investments I have recommended?**

No. By law, the investments I have recommended must be appropriate to you, however, I do not guarantee that the recommended investments are the best for you or that they will perform in a certain way.

### **Your Financial Plan**

In preparing this plan we have taken into account your specific goals and objectives, and have designed an appropriate strategy that aims to accomplish these.

It is important to appreciate that we live in an ever changing world. Accordingly, it is probable that, overtime, the basis of our calculations (inflation rates, investment rates etc) will change, as will your own requirements and expectations. It is therefore recommended you review your plan on a regular basis to ensure you are still on track to achieve investment objectives.

It is essential to have your investment portfolio reviewed to ensure that the investments are working to their maximum potential and any changes to the investment markets, taxation etc. are promptly and correctly responded to.

### **Next steps**

#### **How to get started**

To implement our recommendations in this plan, please do the following:

- Make sure you read this Statement of Advice and Product Disclosure Statements
- Contact us if you have any questions
- Tell us immediately if any information is incorrect
- Complete the application forms in the Product Disclosure Statements
- Sign and date the Authority to Proceed
- Return the forms to us
- Retain a copy for your records

### **Finally**

Please note, as with any investments, their future value may fluctuate, particular rates of return cannot be guaranteed and you may not get back what you originally invested. We have provided a brief summary of the managed investment products recommended, however, you will need to study the investment statements of the recommended products carefully before you decide to invest.

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**Authority to Proceed**

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I, Sheryl Ovens, of  
2/30 Richmond Street  
**BLACKBURN SOUTH VIC 3130**

State that:

I have read and understood the Financial Plan presented to me by **Andrew Lord B Bus (Acc)**, Dip FS (Fin Plan) from Pareto Group Pty Ltd, and authorise him to proceed with the recommendations as outlined below:

| Investment                             | Amount    |
|----------------------------------------|-----------|
| Colonial FirstChoice Wholesale Pension | \$172,000 |

All fees and charges have been explained to me.

I authorise **Andrew Lord B Bus (Acc)**, Dip FS (Fin Plan) to act in his capacity as our Financial Adviser regarding this investment and to act on our instructions provided by (tick whichever is applicable):

☐ Facsimile

☐ Email

☐ Writing

I acknowledge that:

- I have received and read a Financial Services Guide.
- I have provided all information to the best of my knowledge for the preparation of this Statement of Advice.
- My adviser is not a taxation adviser, and estimates of tax positions are estimates only. We should seek advice from a registered tax agent for taxation advice.

☐ I accept the recommendations made in this Report and give authority to Pareto Group Pty Ltd ABN 11 155 278 078 to proceed with the implementation of those recommendations.

Modifications to recommendations requested by client

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|  |

Signed: \_\_\_\_\_  
**Sheryl Ovens**

\_\_\_\_\_/\_\_\_\_\_/\_\_\_\_\_  
Date

Signed: \_\_\_\_\_  
**Andrew Lord**  
B Bus (Acc), Dip FS (Fin Plan)

\_\_\_\_\_/\_\_\_\_\_/\_\_\_\_\_  
Date

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## Appendix A – Assumptions

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In preparing your financial strategy, it is necessary to make certain assumptions. These are outlined below.

- Current superannuation rules, taxation legislation and social security rates have been used;
- Where applicable Medicare Levy of 2.0% is included on marginal tax rates;
- Throughout this plan, an inflation rate of 3% per annum has been used, and a variable rate of return on share and managed fund investments, as outlined in the relevant sections. Projections are calculated in today's dollars;
- Superannuation contributions tax of 15% is taken into consideration where relevant;
- There is no tax on the earnings within pension products.
- No consideration has been made for Eligible Termination Payments, foreign sourced income or capital gains or losses, unless stated otherwise;
- Cash flow projections are based on estimated income of your investment portfolio and any other income such as salary. Estimated expenses and tax are also included;



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## Appendix B – Retirement Capital Projections

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